

24CHCV01641 24CHCV01641

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Case Number: 24CHCV01641 Hearing Date: July 1, 2026 Dept: F43

Dept. F43

Hearing Date: 07-01-26

Case # 24CHCV01641, U.S. Bank

Nat'l Ass'n v. Shahinyan, et al.

Trial Date: None set.

MOTION TO VACATE A

VOID ORDER AND VOID JUDGMENT

MOVING PARTY: Defendant Beniamin Shahinyan, in pro per

RESPONDING PARTY: Plaintiff U.S. Bank National Association

RELIEF REQUESTED

Order voiding and vacating the following

orders: November 7, 2025, order granting

plaintiff's motion for summary judgment; November 12, 2025, entry of judgment; and

any subsequent proceedings based on the previous orders.

RULING: Motion is granted in part and denied in part.

SUMMARY OF ACTION

This action arises from a series of allegedly

fraudulent property conveyances. On August 20, 2019, defendant Benjamin Shahinyan secured a \$548,000.00 loan on real property in Mission Hills, CA. The original lender assigned the Note and Deed of Trust to plaintiff U.S. Bank Trust National Association. In April 2021, defendant MTC Financial, Inc. was substituted in as the trustee under the Deed of Trust, and Shahinyan defaulted on the loan. Notices of default and trustee's sale were filed, the property was sold, and a deed to that effect was recorded. Defendants then allegedly recorded notices rescinding those documents.

On April 30, 2024, plaintiff U.S. Bank Trust National Association (Plaintiff) filed this action against defendants Benjamin Shahinyan and MTC Financial Inc., alleging three cancellation of instrument causes of action and a declaratory relief cause of action. Shahinyan is self-represented.

Attempted
Removal to Federal Court

On September 10, 2024, defendant Benjamin Shahinyan (Defendant) filed a motion to strike punitive damages from the complaint. On November 26, 2024, the day before the hearing on the motion to strike, Defendant then filed an application to remove this matter to the U.S. District Court for the Central District of California. On November 27, 2024, the day of the motion hearing, Defendant filed a notice of removal at 3:17 am and the court denied the motion to strike. On December 1, 2024, the federal court accepted Defendant's removal request but remanded the case on December 16, 2024. On December 9, 2024, Defendant filed a motion to reconsider the court's November 27, 2024, order denying Defendant's motion to strike. The court denied the motion to reconsider. (01/31/25 Minute Order.)

Attempted
Stay Based on a Closed Bankruptcy Case

On January 30, 2025, Defendant filed a notice of stay of proceedings based on federal bankruptcy case number 6:15-bk-13333-WJ. In response, Plaintiff filed a declaration stating the bankruptcy was terminated on October 3, 2018. On February 11, 2025, Plaintiff filed a motion to lift the stay of proceedings and to enter default, arguing no

stay ever existed because the bankruptcy case was terminated over five years ago. The court granted the motion in part, found Defendant's notice of stay was invalid, and lifted the bankruptcy stay. (4/07/25 Minute Order.)

Motion for Summary Judgment and Second Bankruptcy Stay

On July 31, 2025, Plaintiff filed a motion for summary judgment on the Complaint. The deadline to file and serve an opposition was October 20, 2025. Defendant did not oppose the motion. Instead, Defendant filed a cross-complaint against Plaintiff on November 4, 2025. The Clerk of the Court rejected the document. (11/05/25 Notice of Rejection - Pleadings.)

Two days later, on November 6, 2025, the court issued a tentative ruling granting the summary judgment motion.

On November 7, 2025 at 4:29 a.m., Defendant filed a Notice of Stay of Proceedings, stating an involuntary bankruptcy proceeding was filed against him on November 6, 2025 at 10:20 a.m. (11/07/25 Notice of Stay of Proceedings.)

Also on November 7, 2025 around 8:30 a.m., the court granted the summary judgment motion for Plaintiff. Defendant did not attend the hearing.

Later that same day at 3:21 p.m., Defendant filed a motion for the court to reconsider its November 7, 2025, ruling or to relieve him from the order because the federal bankruptcy disrupted his ability to calendar and oppose the summary judgment motion. Defendant scheduled the hearing for January 15, 2026. No opposition was filed.

On November 12, 2025, judgment was entered against Defendant on the Complaint.

On January 14, 2026, the day before the motion for reconsideration hearing, the U.S. Bankruptcy Court for the District of Maryland entered an order dismissing Defendant's case. (Declaration of Magdalena D. Kozinska ¶ 8, Exh. A.) Yet, Defendant filed another Notice of Stay of Proceedings as to the same involuntary bankruptcy proceeding. (01/14/26 Notice of Stay of

Proceedings at p. 14.) On January 15, 2026, the court continued the motion for reconsideration to May 6, 2026, pending the bankruptcy stay. (01/15/26 Minute Order.)

On February 9, 2026, the bankruptcy case was closed. (Kozinska Decl., Exh. B at p. 2.)

On April 28, 2026, the U.S. Bank filed an ex parte application to lift the stay and reset the summary judgment hearing. The court continued the hearing on the ex parte application to May 6, 2026. (04/30/26 Minute Order.) Defendant filed an opposition two days before May 6, 2026, asserting the summary judgment motion was adjudicated during a pending bankruptcy stay making the court's ruling void ab initio.

On May 6, 2026, the court granted the ex parte application in part, lifted the stay, and denied Defendant's motion for reconsideration because Defendant failed to demonstrate the bankruptcy prevented him from receiving and opposing the summary judgment motion. (05/06/26 Minute Order.) The court also re-adopted its November 7, 2025, ruling on the summary judgment motion.

On May 7, 2026, Defendant filed the instant motion to vacate the November 7, 2025, Minute Order as void and to vacate the judgment entered on November 12, 2025. Plaintiff filed an opposition on June 17, 2026. No reply has been filed.

SUMMARY OF ARGUMENTS

Defendant contends the summary judgment ruling and the subsequent entry of judgment are void because both were entered after the bankruptcy case was filed.

Defendant further contends the court cannot now adopt its prior ruling on the summary judgment motion because the ruling was void when entered.

In opposition, Plaintiff asserts there is nothing to set aside because the court has yet to sign a summary judgment order

or enter judgment in this matter.

ANALYSIS

A. Vacating Void Orders and Void Entries of Judgment

Defendant moves for relief pursuant to Code of Civil Procedure sections 473, subdivision (d) and 11 U.S.C. § 362(a).

“The court may, upon motion of the injured party, or its own motion, correct clerical mistakes in its judgment or orders as entered, so as to conform to the judgment or order directed, and may, on motion of either party after notice to the other party, set aside any void judgment or order.” (Code Civ. Proc., § 473, subd.

(d).) A party has six months after

judgment is entered to file a motion to set aside the judgment. (Code Civ. Proc., § 473, subd. (b).) If a judgment is void on its face, the

six-month time limit does not apply.

(Code Civ. Proc., § 473 subd. (d); see *Calvert v. Al Binal* (2018)

29 Cal.App.5th 954, 960.) Under section

473, subdivision (d), a judgment or order is void on its face when the invalidity is apparent upon an inspection of the judgment roll without consideration of extrinsic evidence. (*Morgan*

v. Clapp (1929) 207 Cal. 221, 224; *Kremerman v. White* (2021) 71

Cal.App.5th 358, 370.) The law favors

hearings on the merits, so any doubts as to the application of section 473

should be resolved in favor of the party seeking relief from default. (See *Shapiro v. Clark* (2008) 164

Cal.App.4th 1128, 1139-1140.)

Defendant filed his motion within exactly six months of the court's November 7, 2025, Minute Order on Plaintiff's motion for summary judgment.

1. The November 7, 2026, Minute Order (Summary Judgment) and the November 12, 2026, Entry of Judgment against Defendant are void.

A judgment or order is void on its face if the court lacked jurisdiction or exceeded its jurisdiction when granting the relief the

court had no power to grant. (Sindler v. Brennan (2003) 105 Cal.App.4th 1350, 1353.) "The filing of a bankruptcy petition operates as an automatic stay of the commencement or continuation of any action against a bankrupt debtor or against the property of a bankruptcy estate. Actions taken in violation of the stay are void, even where there is no actual notice of the stay." (Pioneer Construction, Inc. v. Global Investment Corp. (2011) 202 Cal.App.4th 161, 167, citations omitted; see also United States v. Dos Cabezas Corp. (9th Cir. 1993) 995 F.2d 1486, 1491-1492.)

The evidence demonstrates an involuntary bankruptcy petition was filed against Defendant on November 6, 2025 at 10:20 a.m. and a notice of stay of proceedings was filed on November 7, 2025, at 4:29 a.m. (11/07/25 Notice of Stay of Proceedings at pp. 1-2.) The court then entered a ruling granting Plaintiff's motion for summary judgment after 8:30 a.m. on November 7, 2025.

Although the court did not have actual notice of the bankruptcy until after it granted Plaintiff's motion for summary judgment, the automatic stay went into effect the prior day upon the filing of the involuntary bankruptcy petition. Therefore, the court's November 7, 2025, Minute Order is void.

The court record also indicates that judgment was entered against Defendant on November 12, 2025, despite this matter being in a stay. As such, the November 12, 2025, entry of judgment is also void.

Therefore, the court grants Defendant's motion to the extent that the November 7, 2026, Minute Order and the November 12, 2025, Entry of Judgment are void because both occurred during the automatic stay.

However, the court's adoption of the reasoning in the November 7, 2025, Minute Order is not void because the bankruptcy stay was lifted on May 6, 2026.

2. The May 6, 2026, Minute Order adopting the reasoning from the November 7, 2025, Minute Order and granting Plaintiff's motion for summary judgment is not void.

As noted in the summary above, Defendant filed a motion for reconsideration of the court's void summary judgment ruling the same day he filed a notice of stay of proceedings.

Because the motion was filed while the stay was in effect and Defendant subsequently filed another notice of stay the day before the noticed hearing date on the motion for reconsideration, the court continued the matter to May 6, 2026, pending the status and outcome of the bankruptcy case. (01/15/25 Minute Order.) The court in turn continued Plaintiff's April 28, 2026, ex parte application to lift the stay and reset the summary judgment motion for a hearing to May 6, 2026. (04/30/26 Minute Order.)

Based on a finding that Plaintiff presented evidence demonstrating the bankruptcy case closed on February 9, 2026, the court lifted the stay and denied Defendant's motion for reconsideration. The court reasoned that Defendant failed to demonstrate the November 6, 2025, bankruptcy petition prevented him from opposing the summary judgment motion and adopted the reasoning in the original November 7, 2025, Minute Order.

Dismissal of a bankruptcy case terminates the automatic stay. (11 U.S.C. § 362(c)(2)(B).) Thus, the state court's jurisdiction is restored and may proceed on the merits of a pending motion. Although the court may not revive a void order, no case law prevents the court from proceeding on the merits of a pending motion. The court may re-examine the pending motion, reach the same conclusion, and use the same reasoning it would have applied originally so long as a new order is entered after the stay is lifted.

Because the court lifted the stay on May 6, 2026, the court has authority to enter a ruling on Plaintiff's motion for summary judgment. Defendant failed to file an opposition to the summary judgment motion by the October 20, 2025, opposition deadline, to present opposing papers with his motion for reconsideration, or to present a basis for granting him a further opportunity to file opposing papers. Based on the moving papers filed in relation to the summary judgment motion, the court adopted the same reasoning, evidentiary findings, and legal conclusions from the November 7, 2025, Minute Order and granted Plaintiff's motion for summary judgment.

As for Defendant's motion for reconsideration, the court vacates

the May 6, 2026, ruling as void because the challenged order (the November 7, 2026, Minute Order) is void. This in turn makes the motion for reconsideration moot.

Therefore, the court grants in part and denies in part defendant Benjamin Shahinyan's motion to vacate.

CONCLUSION and ORDER

Defendant Benjamin Shahinyon's motion to vacate is granted in part and denied in part.

1. The court

vacates the November 7, 2025, Minute Order on Plaintiff's Motion for Summary Judgment.

2. The court

vacates the November 12, 2025, Entry of Judgment against defendant Benjamin Shahinyan.

3. The court

vacates the May 6, 2026, Minute Order on Plaintiff's Motion for Reconsideration and rules the motion is moot.

4. The court

grants Plaintiff's motion for summary judgment on the Complaint.

Clerk of the Court to give notice.